IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.35/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF SCHEME OF AMALGAMATION
IN THE MATTER OF
AD2PRO MEDIA SOLUTIONS PRIVATE LIMITED
WITH
AD2PRO GLOBAL CREATIVE SOLUTIONS PRIVATE LIMITED

Order delivered on: 13th July, 2018

Coram: Hon'ble Shri Rajeshwara Rao Vittalana, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s): Uday Shankar Associates
Advocates
Fortune Chambers, 1st Floor, No.8,
Lalbagh Road, Richmond Circle,
Bangalore-560027

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on:14.6.2018

AD2PRO GLOBAL CREATIVE SOLUTIONS PRIVATE LIMITED
No.13/3, Lavelle Road, 1st Cross,
Bangalore-560001-**Applicant/Transferee Company**

ORDER

This Application is filed on behalf of the Applicant Company under Section 230 to 232 of Companies Act, 2013 read with Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying for an order to dispense with convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company/Transferee Company for considering the scheme of Arrangement. The Scheme of Arrangement is shown as **Annexure-A**.

The averments made in the Company Application are briefly described hereunder:-

The Applicant seeks an order to dispense with convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company and for considering the scheme of Arrangement where under Ad2pro Media Solutions Private Limited (Transferor Company) is proposed to be merged with Ad2pro Global Creative

Solutions Private Limited (Applicant/Transferee Company) in terms of Scheme of Arrangement shown as **Annexure-A**.

Application is filed on behalf of the applicant company alleging that the Applicant Company/Transferee Company was incorporated on 6th December, 2012 under the name and style of **AD2PRO GLOBAL CREATIVE SOLUTIONS PRIVATE LIMITED** having CIN No.U74999KA2017PTC108465. The Registered office of the Applicant Company is situated at No.13/3, Lavelle Road, 1st Cross, Bangalore-560001.

The main objects of the Applicant Company is to develop and deliver strategic creative content, low-cost implementation and technology solutions to the world's leading brands and media companies. The copy of Memorandum and Articles of Association of the Applicant Company is shown as **Annexure-B series.**

The latest authorised share capital of the Applicant Company is Rs.12,00,000/- divided into 12,00,000 Equity Shares of Rs.1/- each. The issued, subscribed and paid-up capital of the Applicant Company is Rs.11,26,943/- divided into 11,26,943Equity Shares of Rs.1/- each. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-C**.

It is further stated that, the Board of Directors of the Applicant Company have approved and adopted a Scheme of Arrangement at their meetings held on 16th March, 2018 by virtue of which Ad2pro Media Solutions Private Limited (Transferor Company) is proposed to be merged with Ad2pro Global Creative Solutions Private Limited (Applicant/Transferee Company) subject to confirmation. Copy of the Board Resolution of Applicant Company dated 16th March, 2018 approving and adopting the Scheme of Arrangement is shown as **Annexure-D**.

It is further averred in the scheme that the Board of Directors of the Applicant Company is of the opinion that the arrangement would result in following benefits:

1. Greater integration and greater financial strength and flexibility for the combined entity leading to stronger negotiation power in the market and strengthened leadership in the industry.
2. Greater efficiency in the cash management of the combined entity, and unfettered access to cash flow generated by the combined entity for the group.

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company has certified that there are

6equity shareholders as on 28th February, 2018 of the Applicant Company. The certificate of the Chartered Accountant certifying the list of shareholders is **shown as Annexure-F.**

We have seen the consent affidavits which filed by Six Equity shareholders of Applicant Company/Transferor Company i.e., (i)Mr.Venkateshan Gopalakrishnan, holding 5,60,189 equity shares, constituting 49.70% of the paid-up capital,(ii)Mr.Venkateshan Gokulakrishnan holding 1,13,583 equity shares, constituting 10.07% of the paid-up capital,(iii) Todd Brian Brownrout, holding 3,20,107 equity shares, constituting 28.40% of the paid-up capital, (iv)Pervez Sikora, holding 90,866 equity shares, constituting 8.06% of the paid-up capital, (v) Ramanathan Vairavan, holding 23,912equity shares, constituting 2.12% of the paid-up capital, (vi)Kambhir Manghirmalani, holding 18,286 equity shares, constituting 1.62% of the paid-up capital shown as **Annexure-F series**.

It is further stated that there are two Secured Creditors in the Applicant Company as on 28th February, 2018 as certified by the Chartered Accountant. The certificate of the chartered accountant certifying the list of Secured Creditors is **shown as Annexure-G.**

It is stated that, the value of amounts due to Secured creditors of the Applicant Company/Transferee Company is Rs.60,50,00,000/- and 100% of the Secured Creditors representing value of Rs.60,50,00,000/- have given their consent to the Scheme. We have seen consent affidavits issued by the Secured Creditors shown as **Annexure-H series.**

It is further stated that there is only one Unsecured Creditors in the Applicant Company as on 28th February, 2018 as certified by the Chartered Accountant. The certificate of the chartered accountant certifying the list of Unsecured Creditors is **shown as Annexure-J.**

It is stated that, the value of amounts due to Unsecured creditors of the Applicant Company/Transferee Company is Rs.1,91,60,228/- and 100% of the Secured Creditors representing value of Rs.1,91,60,228/- have given their consent to the Scheme. We have seen consent affidavits issued by the Unsecured Creditors shown in **memo dated 4th June, 2018.**

The Applicant Company is seeking an order to dispense with convening of meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company on the ground that, there are Six Equity shareholders, Two Secured Creditor and only One Unsecured Creditor in Applicant Company and all the Equity shareholders, 100%

value of Secured Creditors and 100% value of Unsecured Creditors of Applicant Company have given their consent by way of affidavits for the proposed scheme of arrangement.

We have heard the Counsel appearing for the Applicant Company. The Application is filed by the Applicant Company which is a Transferee Company seeking for dispensing with the convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Company for approving the Scheme of Arrangement ofAd2pro Media Solutions Private Limited (Transferor Company) which is proposed to be merged with Ad2pro Global Creative Solutions Private Limited (Applicant/Transferee Company)in terms of Scheme of Arrangement shown as **Annexure-A**.

In any eventuality when the Applicant Company approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the scheme of Arrangement to put forth their contentions before the Tribunal.

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

(RAJESWARA RAO VITTANALA)
MEMBER, JUDICIAL

Sirisha